[*] Only a few major rail stocks now remain, including Burlington Northern, CSX, Norfolk Southern, and Union Pacific. The advice in this section is at least as relevant to airline stocks today—with their massive current losses and a half-century of almost incessantly poor results—as it was to railroads in Graham's day.

[*] Graham is summarizing the "efficient markets hypothesis," or EMH, an academic theory claiming that the price of each stock incorporates all publicly available information about the company. With millions of investors scouring the market every day, it is unlikely that severe mispricings can persist for long. An old joke has two finance professors walking along the sidewalk; when one spots a $20 bill and bends over to pick it up, the other grabs his arm and says, "Don't bother. If it was really a $20 bill, someone would have taken it already." While the market is not perfectly efficient, it is pretty close most of the time—so the intelligent investor will stoop to pick up the stock market's $20 bills only after researching them thoroughly and minimizing the costs of trading and taxes.

[*] This is one of the central points of Graham's book. All investors labor under a cruel irony: We invest *in* the present, but we invest *for* the future. And, unfortunately, the future is almost entirely uncertain. Inflation and interest rates are undependable; economic recessions come and go at random; geopolitical upheavals like war, commodity shortages, and terrorism arrive without warning; and the fate of individual companies and their industries often turns out to be the opposite of what most investors expect. Therefore, investing on the basis of *projection* is a fool's errand; even the forecasts of the so-called experts are less reliable than the flip of a coin. For most people, investing on the basis of *protection*—from overpaying for a stock and from overconfidence in the quality of their own judgment—is the best solution. Graham expands on this concept in Chapter 20.

[1] Adjusted for stock splits. To many people, MicroStrategy really did look like the next Microsoft in early 2000; its stock had gained 566.7% in 1999, and its chairman, Michael Saylor, declared that "our future today is better than it was 18 months ago." The U.S. Securities and Exchange Commission later accused MicroStrategy of accounting fraud, and Saylor paid an $8.3 million fine to settle the charges.

[2] Jon Birger, "The 30 Best Stocks," *Money,* Fall 2002, pp. 88–95.

[1] By the time you read this, much will already have changed since year-end 2002.

[2] David Dreman, "Bubbles and the Role of Analysts' Forecasts," The Journal of *Psychology and Financial Markets,* vol. 3, no. 1 (2002), pp. 4–14.